

Symbolic compliance in the EU ESG disclosure regulation

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Abstract. This review traces the evolution of ESG disclosure regimes and highlights the current tendency for firms to engage in formal compliance rather than substantive adherence to ESG frameworks. Despite the EU's establishment of an advanced ESG regulatory architecture, these regulations remain centred on meta-regulation and heavily reliant on voluntary corporate reporting. This flexibility fosters regulatory ambiguity, enabling firms to satisfy disclosure requirements in form while circumventing substantive sustainability transformations. Through meta-regulation and symbolic compliance theories, this study reveals how ESG regulatory discourse and institutional design shape corporate behaviour, potentially inadvertently fostering superficial reporting. Empirical research increasingly demonstrates significant gaps between ESG commitments of corporates and their actual environmental and social performance. The study notes that current research rarely examines how regulation itself fosters symbolic actions. Consequently, this research emphasises that ESG regulation must establish clearer benchmarks, strengthen oversight mechanisms, and develop more enforceable rules to translate transparency into substantive sustainability outcomes.

Keywords: ESG disclosure, meta-regulation, symbolic compliance

1. Introduction

Environmental issues have become a major concern for policymakers, businesses, and the public, as human activities have exacerbated extreme climate events [1]. Meanwhile, poor business practices and risk management failures have highlighted the need for financial models that incorporate environmental and social sustainability [1, 2]. Hence, Environmental, Social, and Governance (ESG) criteria were developed to balance economic, environmental, and social interests [3]. European and American countries have actively promoted the construction of ESG systems in recent years, including disclosure standards, rating systems, and indicator design, which has facilitated the overall development of the ESG framework [4]. Currently, ESG regulation is a global financial compliance priority [5].

As a global pioneer of ESG regulation, the European Union (EU) has taken the lead in ESG disclosure initiatives [6], such as the Non-Financial Reporting Directive (NFRD), the Sustainable Finance Disclosure Regulation (SFDR) and the EU Taxonomy Regulation [1]. These measures constitute one of the most comprehensive ESG regulatory regimes and have become an international model, such as the U.S. Securities and Exchange Commission's climate-related disclosure proposal and Japan's Environmental Reporting Guidelines [7, 8]. These policies mark a profound change in the regulatory regime for financial markets, and ESG disclosure systems have become an important lens for regulating corporate behaviour and for investors to assess risk and ethical performance, particularly regarding environmental and climate responsibility [8].

While the EU has made great strides in standardised and mandatory ESG reporting, exemplified by the new Corporate Sustainability Reporting Directive (CSRD) aimed at improving transparency [9], the overall framework is still based on the voluntary nature of the Task Force on Climate-related Financial Disclosure (TCFD) [10], weakening the mandatory intent of the new EU initiative. This regulatory ambiguity allows firms to exploit loopholes for symbolic compliance and regulatory arbitrage [6]. Hence, while the TCFD-based tool encourages disclosure of climate risks, there is still a huge gap between its information requirements and what is disclosed, especially under the pillars of the strategies, where superficial statements replace hard and verifiable data [11]. This symbolic approach raises serious concerns about the effectiveness of EU's ESG regulations in driving substantive change and highlights the growing tension between symbolic action and substantive change in the environmental, social and governance debate [12].

However, current research on ESG disclosure systems often focuses on the company level. That means they always focus on how companies respond under established ESG regulations, rather than studying how the discourse of upstream regulatory systems leads to symbolic compliance by companies. As for the current research, theoretical approaches such as meta-regulation [13, 14] and symbolic compliance [15] offer valuable lenses to understand these structural tensions.

This review summarises current research on ESG disclosure regimes and symbolic compliance, particularly about meta-regulatory approaches. Meanwhile, this review critically examines how embedded flexibility, ambiguity, and self-regulatory mechanisms in the ESG regulatory framework of the EU shape the relationship between regulation and corporate behaviours. By combining insights from policy, legal, and organisational research, this review highlights theoretical and practical tensions between transparency and enforcement, offering directions for future research and policy design in sustainable finance.

2. Conceptual and theoretical foundation

To comprehend the persistent gap between ESG disclosure and substantive corporate sustainability, contemporary scholars employ numerous theories to interpret this phenomenon. Among these, meta-regulation and symbolic compliance have become a crucial theoretical framework for analysing the complex interplay between law, organisational behaviour, and legitimacy. These two theories explain how regulatory design and institutional discourses that were intended to strengthen oversight have progressively undermined sustainable development governance.

Meta-regulation theory describes a form of regulation where regulators steer and oversee the self-regulatory efforts of firms, rather than prescribing detailed behaviour. Parker argues that the absence of robust corporate social and legal responsibility stems from regulators' failure to actively engage with firms [13]. Therefore, he advocates for a meta-regulatory framework in firms to develop internal compliance mechanisms, report on them, and undergo regulatory review. This iterative engagement leads to what Parker describes as a "triple loop" of regulatory learning [13]. Hence, meta-regulation is a dynamic and process oriented [14]. However, Gilad notes that this structure often causes a significant divergence between regulatory metrics and firms' actual business practices [14]. When firms set and report on their performance measures, the standards encoded in regulations may diverge from on-the-ground outcomes. The EU's ESG disclosure regime largely reflects this meta-regulatory logic. Although the EU has progressively moved toward mandatory disclosure, many of its instruments, like the SFDR, CSRD, and the EU Taxonomy Regulation, remain principle-based and self-reporting-oriented. Companies retain significant discretion in how they define, measure, and present their sustainability performance [16]. In essence, the EU regulators mandate that firms disclose information, but often allow firms to determine the specifics of how to comply.

This gap between regulatory indicators and real business practices leaves room for enterprises to engage in symbolic compliance. In this case, firms formally meet disclosure obligations without enacting substantive organisational changes. Drawing on institutional theory, symbolic compliance refers to the decoupling of formal institutions from practice, which means that organisations demonstrate legitimacy institutionally but vary significantly in practice [15]. In the ESG context, symbolic compliance manifests through tactics like ambiguous reporting, selective disclosure of positive information, or strategic omission of negative outcomes. These tactics enable a firm to technically meet regulatory disclosure requirements and gain legitimacy from regulators, investors, or the public, even if the firm's underlying environmental and social performance is poor. Thus, the ambiguity and flexibility embedded in meta-regulatory frameworks, such as the EU disclosure regime, may inadvertently facilitate this decoupling, creating space for symbolic compliance.

3. Review of ESG disclosure frameworks and the emergence of symbolic compliance

3.1. Development of ESG discourse regulation

In recent years, ESG disclosure regimes have progressively become institutionalised across various nations. The European Union has emerged as a global pioneer, whilst other regions continue to rely predominantly on voluntary measures. Despite this progress, scholars note persistent ambiguities and overlaps within the EU framework, which may inadvertently allow space for symbolic compliance by enterprises.

At present, countries worldwide have made varying degrees of progress in establishing ESG disclosure regulations. In the EU, the ESG disclosure regime has become a central pillar of sustainable financial regulation, such as NFDR, SFDR, CSRD and the EU Taxonomy Regulation, and has transitioned from a voluntary commitment by companies to a structured regulatory agenda [9, 17]. The United Kingdom has established numerous mandatory ESG disclosure requirements, whereas ESG disclosure policies in the US and China remain voluntary and discretionary [18]. Globally, ESG disclosure policies in sustainable finance largely operate within a primarily voluntary framework. Although the EU law has significantly shifted towards mandatory disclosure, overlapping regulations and the ambiguity of certain provisions still leave considerable space for symbolic compliance by firms [19]. Hence, the development of the current disclosure regime has led to the question of whether the voluntary framework of the disclosure regime encourages companies to demonstrate compliance rather than genuine environmental and social responsibility.

3.2. Theoretical perspectives on ESG disclosure

Scholars of ESG regulatory frameworks have drawn upon various theories to explain why firms engage in disclosure. Agency theory, stakeholder theory, legitimacy theory and signalling theory have been widely employed to interpret disclosure behaviour. Although these perspectives illuminate corporate motivations, they frequently equate disclosure with genuine sustainability performance, overlooking its potential symbolic dimensions.

To begin with, Agency theory suggests that ESG reporting can mitigate information asymmetries between corporate managers and shareholders, aligning managers' actions with investors' interests [20]. Meanwhile, stakeholder theory argues that firms must simultaneously satisfy the needs of participants from different societies, such as employees, investors, and civil society [21]. From the perspective of legitimacy theory, ESG disclosure allows the company's mission to conform to societal expectations and norms, enabling companies to demonstrate a responsible corporate image, especially after some major environmental or social event [22, 23]. Finally, signalling theory suggests that ESG disclosure reports are used by firms to demonstrate their credibility and long-term commitment and to reduce information asymmetry with various parties [24].

3.3. Empirical evidence of symbolic compliance

While these theoretical frameworks contribute to understanding firms' motivations for disclosure, they often assume that disclosure equates to real behavioural change. Consequently, existing research tends to focus on how firms interpret and implement ESG disclosure requirements [25]. These studies often implicitly assume high compliance, treating disclosure as an indicator of real sustainability performance [11]. However, this assumption is increasingly challenged. Scholars have begun to question whether comprehensive ESG reports truly reflect substantive action. For instance, analysis of French companies' climate disclosures found low actual alignment with TCFD recommendations despite extensive reporting, suggesting that formal compliance can mask non-compliance in practice [26]. Similarly, Coen et al. [27] identify a notable "talk-walk" gap in corporate climate efforts. For example, many firms publicly talk about ambitious ESG goals but do not walk the talk with concrete actions, indicating a pattern of managing impressions via disclosure rather than committing to change.

These findings totally indicate that current ESG disclosure practices largely remain superficial, and they fail to achieve substantive transformation. They reveal that mere formal compliance cannot guarantee meaningful sustainability outcomes, underscoring the urgent need for critical scrutiny of the regulatory environment that fosters such symbolic behaviour.

4. Discussion: gaps, contradictions and future directions

Building on the findings of prior studies, several gaps and contradictions emerge in the current literature on ESG disclosure and compliance.

Currently, few studies have turned a critical eye toward the role of the regulations themselves in this dynamic. Most literature treats the content of ESG laws as given and examines how firms react, thereby overlooking how regulatory design may enable or even encourage symbolic behaviour [19]. Only recently have researchers started to scrutinise disclosure frameworks from a critical standpoint. Di Tullio et al. [28], for example, explore how the presentation of business model information can be driven more by legitimacy-seeking than transparency, hinting that the structure of disclosure requirements can shape company behaviour in unintended ways. Cochran et al. [19] argue that the hybrid approach of the EU, combining mandatory elements with flexibility, might undermine the goal of redirecting capital toward sustainability, as inconsistent requirements allow firms to cherry-pick what they report. Similarly, Partiti [29] criticises the EU's current ESG disclosure regime for lacking third-party auditing and affording companies considerable leeway. These observations highlight a need to redirect analysis away from just how businesses comply toward examining how the design and discourse of ESG disclosure rules may facilitate superficial compliance.

5. Conclusion

This review of existing literature on ESG disclosure regimes illustrates the tension between transparency and substantive compliance in current frameworks. Scholars have highlighted the application of the EU's meta-regulatory approach in the SFDR, CSRD and EU Taxonomy Regulation. These regulations demonstrate how ESG disclosure regimes under meta-regulatory frameworks foster flexibility and self-regulation, yet generate ambiguity at the same time, promoting symbolic rather than substantive behavioural change. This contradiction highlights the limitations of relying on information disclosure to measure sustainability performance.

Through synthesising insights from meta-regulation and symbolic compliance theory, this review demonstrates that ESG regulation functions not merely as an accountability tool but as a discursive field where compliance itself is constructed. The ambiguity of legal language, the dispersion of responsibility, and procedural formalities collectively enable regulated entities to

maintain legal compliance while fulfilling rules symbolically. Consequently, understanding compliance requires examining not only corporate-level strategies but also scrutinising how regulatory design and discourse generate the conditions for symbolic action.

For policymakers and regulators, existing literature indicates an urgent need for clearer benchmarks, enforceable standards, and stronger oversight mechanisms. As the EU model increasingly informs global sustainability disclosure frameworks, strengthening regulations' transparency requirements becomes paramount. Future research should focus on the interaction between discourse, design, and implementation, so that regulatory approaches can be advanced, translating transparency into genuine behavioural change and promoting more sustainable finance governance.

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